

Homework 4: Insight Generation

(45 points total)

Student Name	Rey Stone
Student ID	111044637

Focus of these questions

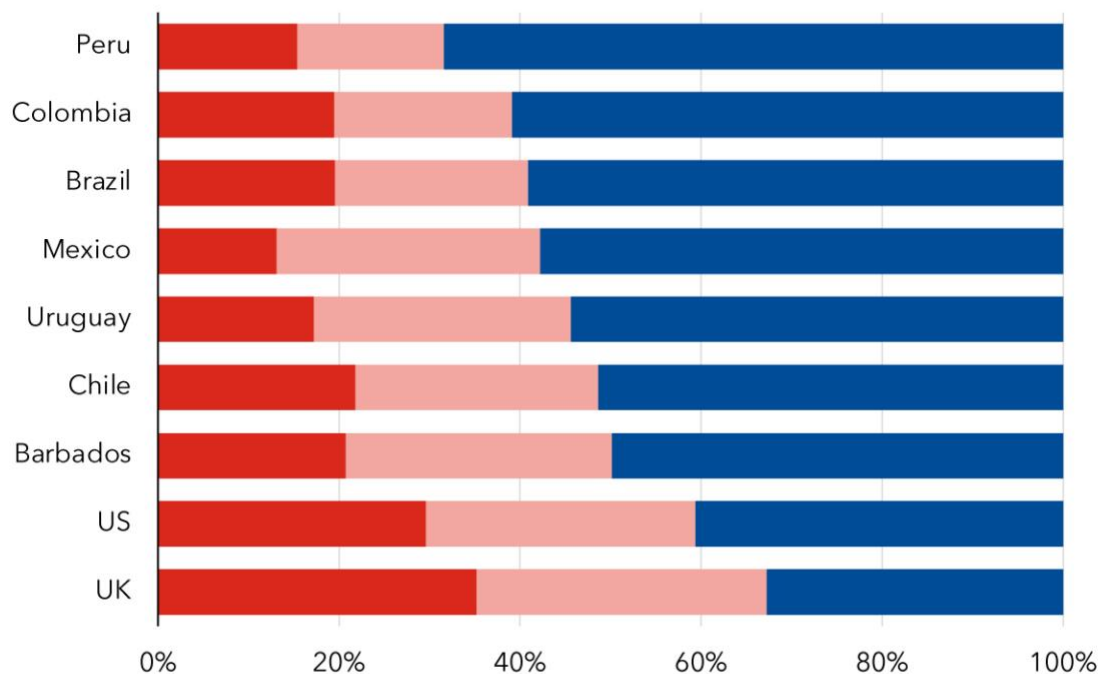
- These questions encourage you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts).
- These questions encourage you to evaluate arguments, evidence, assumptions, and conclusions about key issues presented in the charts
- These questions will help you develop independent insight generation from existing charts. Charts embody multiple insights into what is presented. This exercise aims to train your mind to identify and document these alternative conclusions/takeaways
- To answer the questions, look at the charts and think about the current takeaways presented on top of each chart. Imagine (and document) other insights that are present in the visualization
- Use your own judgement – the insights you identify must be obvious on the chart to qualify as a correct answer

Chart 1 (15 points):

Latin America has fewer jobs highly exposed to AI, partly due to its large informal sector

Employment shares by AI exposure and complementarity

- High exposure, high complementarity
- High exposure, low complementarity
- Low exposure



Source: IMF staff calculations.

IMF

In the table below, provide 3 (three) takeaways Chart 1 above can have besides the current takeaway.

List of alternative takeaways that Chart 1 can have:
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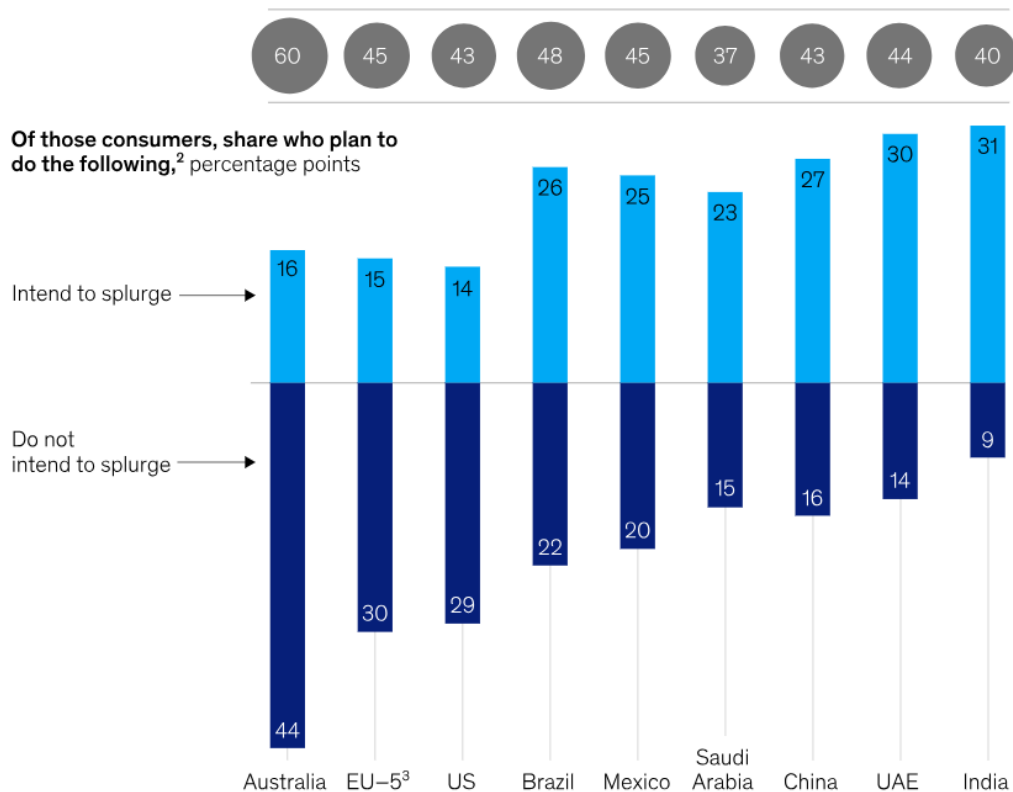
- | |
|--|
| <ol style="list-style-type: none">1. Latin America does not have a well-developed job sector as other nations do.2. Formal jobs sectors in more “well-developed” countries are more at risk of AI replacing these jobs than less formal job sectors. (AI is a rich country problem) |
|--|

3. All Latin America countries have less than 30% of their labor force in the formal sector.

Chart 2 (15 point)

Consumers are worried about rising prices, but a large proportion of those same consumers plan to keep splurging.

Share of consumers concerned about rising prices,¹ %



Note: Figures may not sum, because of rounding.

¹Question: What are the greatest source(s) of concern for you right now? (Choose up to 3.)

²Question: With regard to products and services you will spend money on, do you plan to splurge/treat yourself over the next 3 months?

³EU-5 = France, Germany, Italy, Spain, and UK.

Source: McKinsey ConsumerWise Sentiment Survey, Q2 2025 (n = 25,998)

McKinsey & Company

In the table below, provide 3 (three) takeaways Chart 2 above can have besides the current takeaway.

List of alternative takeaways that Chart 2 can have:

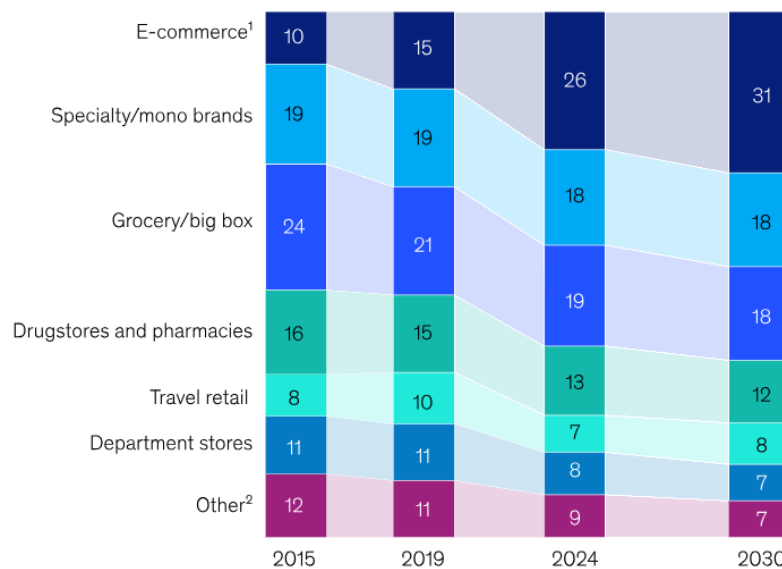
1. Countries with the more “Western” ideologies tend to not want to splurge as much.

2. Asian countries are more likely to splurge than the others (Middle East included in “Asia”).
3. Brazil and Mexico (two South American countries) have their vote of “want to splurge” and “not want to splurge” about 50/50 as opposed to all the other countries.

Chart 3 (15 points):

Online channels could account for one-third of global beauty sales by 2030.

Share of global beauty retail sales, by channel, %



¹Comprehensive online commerce, including online-only shops, websites of brands and omnichannel retailers, and social media.

²Includes direct selling and professional channel.

Source: McKinsey analysis

McKinsey & Company

In the table below, provide 3 (three) takeaways Chart 3 above can have besides the current takeaway.

List of alternative takeaways that Chart 3 can have:

1. We are all becoming increasingly chronically online... aka: our reliance on delivery services and online retail is growing in popularity even after the pandemic.
2. When shopping for beauty products, people choose the option that has the least amount of friction.

3. Groceries stores are now the 2nd (tied with specialty brands) most popular way to buy beauty products. Other rankings haven't actually changed that much.